

Introduction

Artificial intelligence is becoming an important part of how government agencies manage information, deliver services, and communicate with the public. Government agencies provide services related to housing, childcare, transportation, workforce development, food assistance, business permits, public benefits, and emergencies. Although these services are created to help people, finding the correct program or department can be difficult.

Residents may have to search several websites, understand complicated language, complete different applications, and contact multiple agencies. The process becomes even harder when a person has several needs at once. Someone who loses a job may also need rental support, food assistance, childcare, and workforce training.

AI can reduce some of this confusion by allowing people to describe their situation in everyday language and receive guidance about relevant services. However, government agencies must use AI carefully because inaccurate information can affect a person's housing, finances, employment, legal rights, or access to assistance.

New York City's MyCity AI chatbot provides a useful case study. It was created to help business owners navigate city information, but it also produced inaccurate and inconsistent answers. This report examines the MyCity chatbot and proposes a stronger AI-Powered Citizen Services Navigator that other local and state agencies could use.

Case Study Analysis: New York City's MyCity AI Chatbot

Problem or Need Addressed

New York City has many agencies, programs, licenses, permits, regulations, and support services. Small-business owners may have to interact with several departments, including health, buildings, fire safety, consumer protection, and environmental agencies. The city recognized that business owners were spending too much time searching through separate websites to find reliable information.

In October 2023, New York City launched an AI-powered chatbot through the MyCity Business portal. The goal was to create a central place where entrepreneurs could ask questions about starting, operating, or growing a business. The chatbot used information from more than 2,000 city business webpages and was designed to help users find permits, licenses, incentives, regulations, and ways to avoid fines and violations (New York City Mayor's Office, 2023).

The need for the service was clear. Government programs are only useful when people can find and understand them. By the end of 2024, city officials reported that the chatbot had assisted nearly 20,000 people with business-related questions (New York City Office of Technology and Innovation, 2024).

AI Tools and Techniques Implemented

MyCity used generative AI and natural language processing. Natural language processing allows a computer system to understand questions written in ordinary language instead of requiring users to know specific government terms.

A business owner could ask about opening a restaurant, getting a permit, responding to a violation, or locating financial support. The chatbot would interpret the question, search the information available to it, and generate a conversational answer.

This was intended to be easier than using a traditional website search. A normal search engine may return several links, while a chatbot can summarize information and provide a direct next step. The broader MyCity system was also intended to become a one-stop shop where users could search for services, apply for programs, track applications, and receive recommendations.

Outcomes and Benefits

The MyCity chatbot offered several potential benefits. First, it made information available outside regular office hours. Business owners did not have to wait for an office to open or remain on hold for basic questions.

Second, users could ask questions naturally without knowing the official name of a department, permit, regulation, or program. Third, the system had the potential to reduce repetitive questions handled by city employees. If AI could reliably answer simple questions, employees could spend more time on cases requiring judgment and personal assistance.

Most importantly, MyCity showed that information from many government webpages could be brought into one conversational system. The concept was useful even though the execution had serious weaknesses. People should not need to understand the entire structure of government before receiving help.

Challenges and Limitations

The greatest problem with MyCity was accuracy. In 2024, an investigation by *The Markup* found that the chatbot provided incorrect information about labor, housing, and business rules. It wrongly stated that employers could take workers' tips, suggested that businesses could refuse cash payments, and gave inaccurate guidance about housing voucher discrimination (Lecher, 2024). These were not minor mistakes. Following that advice could have caused users to violate the law.

A later audit by the New York City Comptroller found more problems. During July and August 2025, users asked the chatbot more than 2,200 questions. Only 70 people submitted ratings, but 50 of them, or 71.4%, gave negative feedback. The audit also found that the chatbot failed to answer 23 of 48 questions it should have been able to address (Office of the New York City Comptroller, 2025).

Small wording changes sometimes produced different answers. Even changing capitalization affected some responses. This could create disadvantages for users who speak English as a second language, have limited literacy, or communicate differently.

Cost and project management were also concerns. The Comptroller reported that New York City had spent more than \$100 million on the broader MyCity system by October 2025. Even with that investment, users still had to complete separate applications on agency websites, and several portal features mainly redirected users to existing services.

The chatbot’s beta test later ended, and users were redirected to NYC.gov. This does not mean AI should not be used for government navigation. It shows that stronger testing, oversight, source management, and human support are necessary.

MyCity Benefits and Risks

Potential Benefit	Challenge Demonstrated by MyCity
Provides information outside normal office hours	Inaccurate answers can be available at any time
Allows people to ask questions naturally	Small wording changes may alter responses
Reduces the need to search many webpages	Summaries may leave out important details
May reduce repetitive employee questions	Incorrect answers may create more complaints
Connects information across agencies	Outdated source information can spread quickly

Innovative Proposal: AI-Powered Citizen Services Navigator

The proposed application is an AI-Powered Citizen Services Navigator that local, county, and state agencies could use to help residents find government and community services. The proposal builds on MyCity’s original goal while adding stronger safeguards.

A resident could explain a situation in ordinary language, such as, “I lost my job, I am behind on rent, and I need childcare so I can attend interviews.” The system could identify possible needs

related to unemployment, rental assistance, food benefits, childcare, transportation, and workforce programs. It could then provide basic eligibility information, required documents, application steps, deadlines, and the agency responsible for each service.

What the Proposal Would Solve

The system would address the fragmentation of public services. Residents experience government through their personal problems, but government is organized by department. A person may not know whether to contact a city office, county agency, state department, housing authority, workforce board, or nonprofit partner.

This confusion can cause eligible residents to miss programs, submit incomplete applications, contact the wrong agency, or give up before receiving help. It also creates repetitive work for government employees who answer the same navigation questions.

Digital access must also be considered. National Telecommunications and Information Administration data showed that in 2021, 26% of people in households earning less than \$25,000 had no internet subscription, while another 13% relied only on mobile data (National Telecommunications and Information Administration, 2022). Therefore, the navigator could not be the only way to access services. It should work on mobile devices and also be available through libraries, community centers, telephone systems, kiosks, and public employees.

How the Navigator Would Work

The process would follow five stages:

Resident describes need → AI identifies service categories → System searches verified government sources → Resident receives options and next steps → Human employee assists when needed

Unlike an open generative AI chatbot, the navigator would retrieve information only from approved agency databases and webpages. Each answer would identify the source agency and show when the information was last reviewed.

The system would not make final eligibility decisions. Instead of saying, “You qualify,” it would say, “Based on the information provided, you may qualify. The agency will make the final decision.”

Residents could request human assistance at any point. Cases involving homelessness, domestic violence, disability benefits, immigration, legal issues, or emergencies should be transferred to trained employees.

Expected Outcomes and Benefits

The navigator could increase awareness of existing programs and improve application completion by providing personalized document checklists. It could also reduce the number of residents transferred repeatedly between departments.

Government employees could receive organized background information before speaking with a resident. This would not eliminate public-sector jobs. It would allow employees to spend more time on complex cases requiring judgment, empathy, and problem-solving.

Agencies could also use anonymous trend data to identify growing community needs. For example, an increase in searches for rental or utility assistance could help agencies prepare resources. This information should be reported in aggregate and should not be used to track individuals.

Potential Challenges and Safeguards

Accuracy would remain the main challenge. Program rules change, so each agency should regularly review its information. High-impact responses should be tested before being released.

Privacy is another concern because residents may share information about income, housing, health, family, immigration, or employment. The system should collect only the information necessary to suggest services and clearly explain how data will be stored or deleted.

Bias and accessibility must also be addressed. The system should be tested across languages, literacy levels, disabilities, age groups, devices, and different ways of asking the same question. Human assistance and non-digital service options must remain available.

Success should not be measured only by the number of chatbot conversations. Agencies should track whether residents reach the correct department, complete applications, receive accurate information, and experience fewer transfers.

Conclusion

New York City's MyCity chatbot shows both the value and the danger of using AI in government. The city correctly identified that people struggle to navigate government services. The chatbot also showed that conversational AI can make large amounts of information easier to search.

However, inaccurate legal guidance, inconsistent responses, accessibility concerns, negative user feedback, and high project costs showed that convenience alone is not enough. People may assume government-provided information is official and correct.

An AI-Powered Citizen Services Navigator could help more agencies connect residents with housing, employment, childcare, food, transportation, and emergency resources. To work responsibly, it must use verified sources, protect personal information, support different languages and abilities, and provide access to human employees.

AI should not replace public servants or make final decisions. Its best role is to help people understand their options and reach the correct service faster. The goal is not simply to add another chatbot to a government website. The goal is to remove unnecessary barriers between residents and the services created to support them.

References

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